treated as waste material. It was proposed to utilise this for the production of power alcohol. The process was simple, there was no, difficulty, except one—the interests of the Shell and Burma Oil combine were affected. The Government of India championed these interests and refused to permit the manufacture of power alcohol. It was only in the third year of the present war, after Burma fell and the supplies of oil and petrol were cut off, that the realization came that power alcohol was necessary and must be produced in India. The American Grady Committee strongly urged this in 1942.

The Congress has thus always been in favour of the industrialization of India and, at the same time, has emphasized the development of cottage industries and worked for this. Is there a conflict between these two approaches? Possibly there is a difference in emphasis, a realization of certain human and economic factors which were overlooked previously in India. Indian industrialists and the politicians who supported them thought too much in terms

of the nineteenth century development of capitalist **industry in Europe** and ignored many of the evil consequences **that were**